Thematic ETF Monitor & Strategy Chartbook

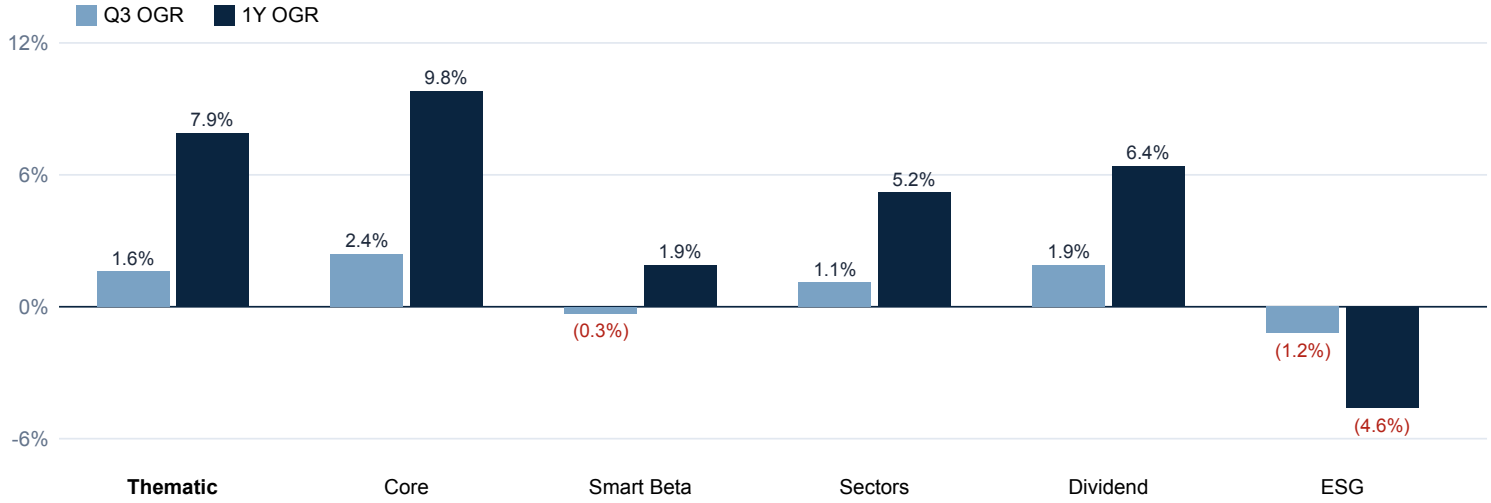
Q3 2026 (QUARTER ENDED 30 SEP 2026) · REALIZED DATA ONLY · NO FORECASTS

Data notice: All figures, tickers and issuers below are illustrative placeholders sized to the specified schema (Spreadsheets 1 & 2, joined on ISIN). Replace the data arrays in the script with live feeds before distribution.

$312.4B	$4.8B	1,682	17.4%
TOTAL THEMATIC AUM	Q3 REALIZED NET FLOWS	MEDIAN BENCHMARK HHI	MAX SINGLE-STOCK FLOAT OWNERSHIP

43%
ACTIVE SHARE OF Q3 LISTINGS

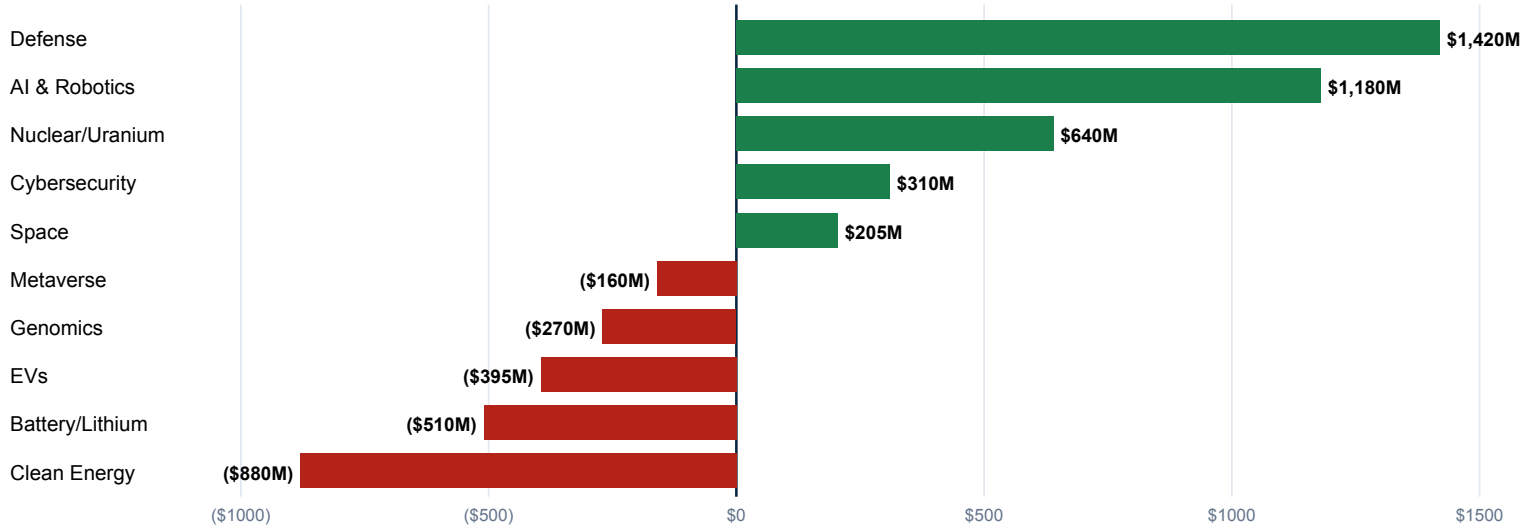
Exhibit 1: Relative Organic Growth Rate: Q3 vs. 1Y (% of opening AUM)



Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Thematic posted a Q3 OGR of **1.6%** and 1Y OGR of **7.9%**, trailing Core (**2.4% / 9.8%**); thematics are **not** growing faster than the broad market, while ESG sits at **(1.2%) / (4.6%)**. Thematics hold **~9%** of ETF listings vs. **~2.6%** of ETF AUM.
- ACTION Do not size thematics as a structural growth sleeve: cap the aggregate sleeve at 10% of the equity budget, funded from Sector exposure (1Y OGR 5.2%) rather than Core.

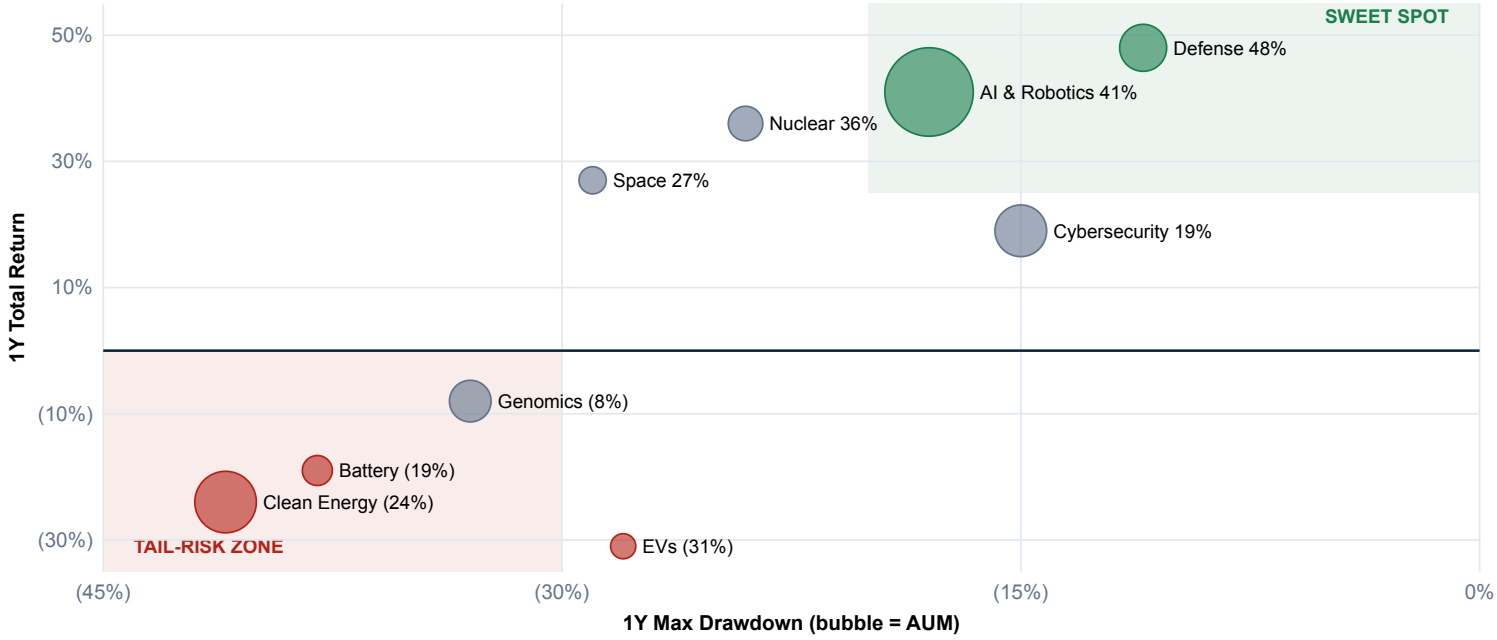
Exhibit 2: Q3 Flow Polarization by Subsegment ($ Millions)



Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Top-5 inflows summed to **$3,755M** (Defense **$1,420M**, AI **$1,180M**, Nuclear **$640M**) against top-5 outflows of **($2,215M)**, led by Clean Energy **($880M)** in its 6th consecutive quarter of net redemptions: gross rotation **$5,970M** (OGR: Defense **9.1%**, Clean Energy **(2.9%)**).
- ACTION Treat three consecutive quarters of net redemptions as a liquidity/closure watch flag; exclude Clean Energy and Battery funds below $100M AUM from new allocations.

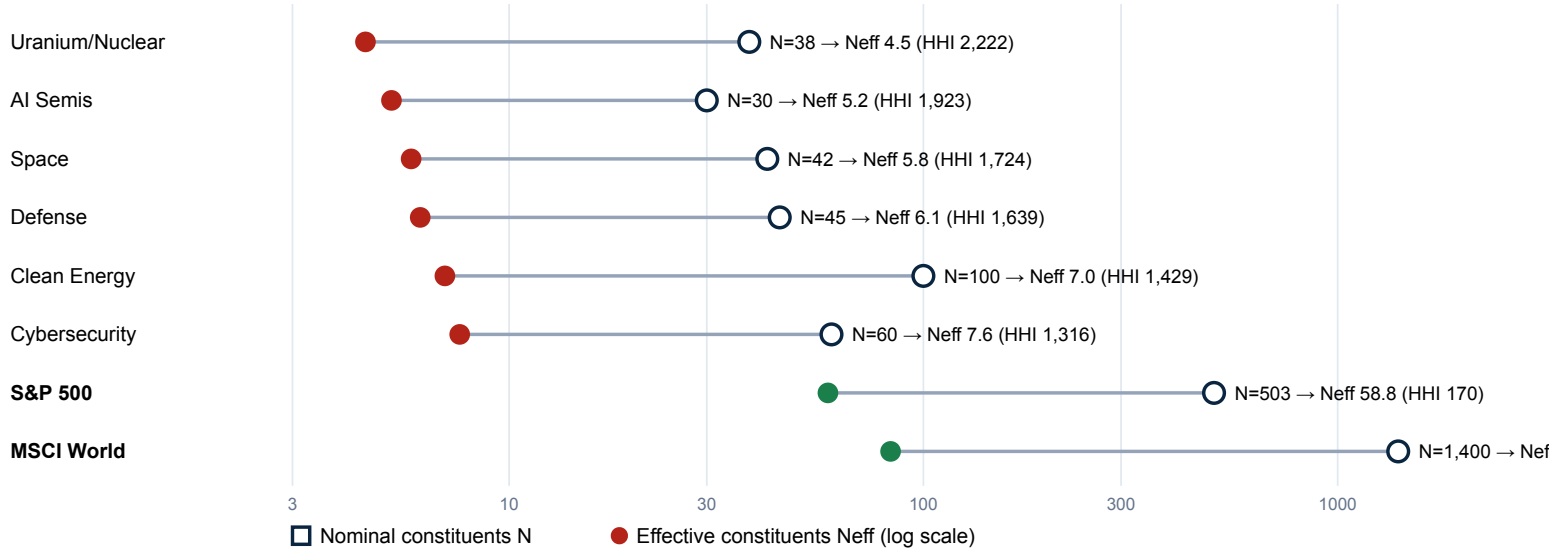
Exhibit 3: The Asymmetry Map: 1Y Total Return vs. 1Y Max Drawdown



Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Defense returned **+48.0%** with a max drawdown of only **(11.0%)** (4.4x return/drawdown) while Clean Energy lost **(24.0%)** through a **(41.0%)** drawdown; Defense Sharpe **2.1** vs. MSCI ACWI **0.9**, Clean Energy **(0.8)**.
- ACTION Screen core thematic holdings for 1Y return/|max drawdown| ≥ 1.5x; cap any subsegment with drawdown worse than (35%) at 1% of the portfolio as a satellite.

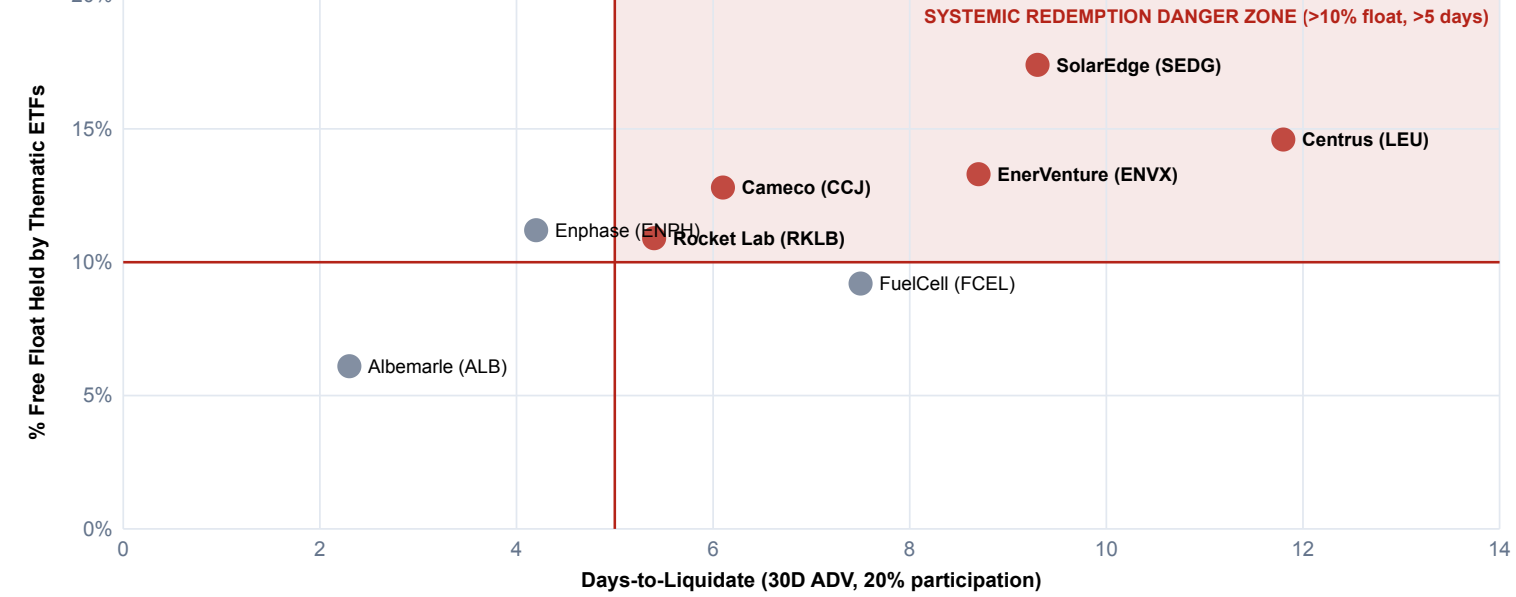
Exhibit 4: The Concentration Mirage: Nominal vs. Effective Constituents



Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Thematic benchmarks collapse from **30–100** nominal names to **4.5–7.6** effective names (median HHI **1,682**; Uranium HHI **2,222**) versus S&P 500 Neff **58.8** (HHI 170) and MSCI World **83.3** (HHI 120).
- ACTION Hard-code a Neff ≥ 8 filter for core thematic sleeves; run a look-through overlap audit against top-10 core holdings and limit any Neff < 6 fund to a 2% position.

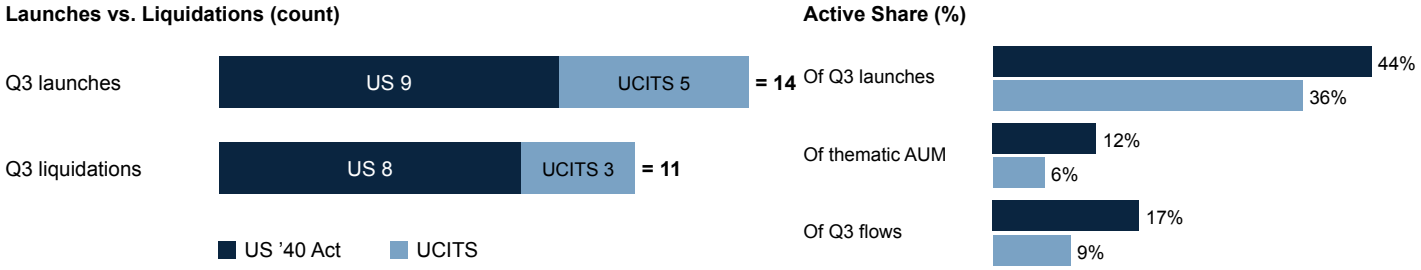
Exhibit 5: Liquidity Contagion Danger Zone: Float Ownership vs. Days-to-Liquidate



Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA **5 of 8** screened mid/small-caps sit in the Danger Zone; SolarEdge shows **17.4%** thematic float ownership and **9.3** days-to-liquidate, Cameco **12.8%** and **6.1** days.
- ACTION Add a pre-trade check: reject any thematic ETF whose top-10 holdings include a Danger Zone name above 5% weight; size positions so that look-through days-to-liquidate stays ≤ 5 days.

Exhibit 6: Product Lifecycle & Active Thematic Migration: US vs. UCITS

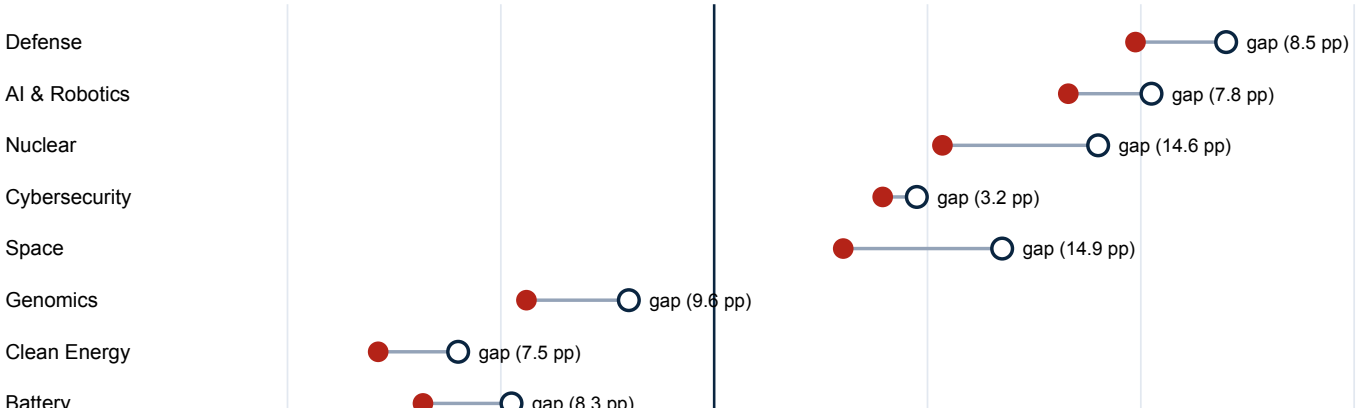


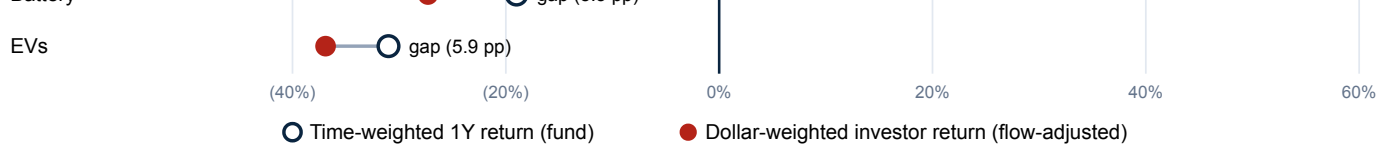
Event	Ticker	Fund / Issuer	Subsegment	TER	Style / Final AUM	Lifespan
Launch	DFNZ	Orbital Defense Active / Meridian AM	Defense	0.55%	Active	–
Launch	AIQP	Edge AI Infrastructure / Northgate	AI	0.40%	Passive	–
Launch	NUKL	Nuclear Fuel Cycle UCITS / Halden	Nuclear	0.49%	Passive	–
Delist	SOLR	Solar Leaders / Brightline	Clean Energy	0.65%	Passive / $14M	3.8 yrs
Delist	HYDX	Hydrogen Economy / Corvid	Clean Energy	0.70%	Passive / $9M	2.6 yrs
Delist	MTVS	Metaverse Pioneers / Axion	Metaverse	0.60%	Passive / ($11M) net outflow	3.1 yrs

Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Q3 saw **14** launches vs. **11** liquidations (all Q3 closures under **$15M** AUM and **3.8** years old); active funds were **43%** of launches and captured **17.0%** of US flows vs. **9.0%** in UCITS.
- ACTION Apply a mortality screen: avoid funds under $50M AUM after 3 years; pay an active premium only where the TER gap is ≤ 25 bps, and note UCITS active supply is thinner (6% of AUM) for Defense/AI.

Exhibit 7: The Flow-Chasing Penalty: Time-Weighted vs. Dollar-Weighted 1Y Return





Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Investor (dollar-weighted) returns trailed fund returns in **all 9** subsegments by an average of **(8.9 pp)**; the gap was widest in Space **(14.9 pp)** and Nuclear **(14.6 pp)** and narrowest in Cybersecurity **(3.2 pp)**, with Defense at **48.0%** vs. **39.5%** realized by investors.
- ACTION Measure the thematic sleeve on dollar-weighted returns, and phase entries into any theme with a gap worse than (10 pp) (Space, Nuclear) over at least 3 tranches instead of lump-sum purchases after rallies.

Exhibit 8: Holdings Overlap Heatmap: Shared Weight Between Thematic ETFs

	DFNZ	AIQP	NUKL	CYBX	SPCX	CLNX
DFNZ	–	6%	3%	4%	22%	1%
AIQP	6%	–	2%	18%	5%	2%
NUKL	3%	2%	–	1%	4%	17%
CYBX	4%	18%	1%	–	3%	1%
SPCX	22%	5%	4%	3%	–	2%
CLNX	1%	2%	17%	1%	2%	–

Weight overlap (%, sum of min constituent weights). DFNZ Defense · AIQP AI · NUKL Nuclear · CYBX Cyber · SPCX Space · CLNX Clean Energy

Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Median pairwise overlap was only **3.0%**, but **3 of 15** pairs exceed 15%: Defense–Space **22.0%**, AI–Cyber **18.0%** and Nuclear–Clean Energy **17.0%**.
- ACTION Treat any pair with overlap above 15% as a single position for sizing and apply one combined cap (e.g., 3%) to avoid paying two TERs for the same exposure.

Exhibit 9: Realized Correlation Matrix: Thematic Subsegments vs. Each Other and MSCI ACWI

	ACWI	DEF	AI	NUC	CYB	SPC	GEN	CLN	BAT	EVs
MSCI ACWI	–	0.42	0.84	0.51	0.80	0.62	0.58	0.64	0.60	0.66
Defense	0.42	–	0.38	0.45	0.40	0.57	0.20	0.15	0.18	0.17
AI & Robotics	0.84	0.38	–	0.55	0.83	0.60	0.52	0.50	0.55	0.58
Nuclear	0.51	0.45	0.55	–	0.46	0.50	0.30	0.62	0.58	0.44
Cybersecurity	0.80	0.40	0.83	0.46	–	0.55	0.49	0.40	0.42	0.50
Space	0.62	0.57	0.60	0.50	0.55	–	0.48	0.46	0.47	0.52
Genomics	0.58	0.20	0.52	0.30	0.49	0.48	–	0.44	0.46	0.50
Clean Energy	0.64	0.15	0.50	0.62	0.40	0.46	0.44	–	0.86	0.79
Battery	0.60	0.18	0.55	0.58	0.42	0.47	0.46	0.86	–	0.81
EVs	0.66	0.17	0.58	0.44	0.50	0.52	0.50	0.79	0.81	–

Pearson correlation of monthly total returns, trailing 12M (n = 12 observations; wide estimation error). Red lines separate MSCI ACWI.

Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Average pairwise thematic correlation was **0.49** and average correlation to MSCI ACWI **0.63**; AI–Cybersecurity (**0.83**) and Clean Energy–Battery (**0.86**) move almost as one, while Defense had the lowest ACWI correlation (**0.42**) and averaged **0.31** against other themes.
- ACTION Treat clusters with correlation above 0.75 (AI/Cyber; Clean Energy/Battery/EVs) as one risk bucket under a single cap, and count only Defense (ACWI correlation below 0.5) as a true diversifier within the thematic sleeve.

Exhibit 10: Appendix: Subsegment League Table (Sharpe at Rf = 4.25%)

Subsegment	Sep AUM	Q3 Net Flows	Q3 OGR	1Y Return	1Y Max DD	1Y Sharpe	1Y Vol	Bench. HHI
Defense	$18.2B	$1,420M	9.1%	48.0%	(11.0%)	2.1	20.8%	1,639
AI & Robotics	$64.5B	$1,180M	2.0%	41.0%	(18.0%)	1.4	26.3%	1,923
Nuclear	$9.8B	$640M	8.0%	36.0%	(24.0%)	0.9	35.3%	2,222
Cybersecurity	$22.0B	$310M	1.5%	19.0%	(15.0%)	0.8	18.4%	1,316
Space	$6.1B	$205M	4.1%	27.0%	(29.0%)	0.6	37.9%	1,724
Genomics	$14.3B	($270M)	(1.8%)	(8.0%)	(33.0%)	(0.3)	40.8%	–
Clean Energy	$31.2B	($880M)	(2.9%)	(24.0%)	(41.0%)	(0.8)	35.3%	1,429
Battery	$7.4B	($510M)	(6.2%)	(19.0%)	(38.0%)	(0.6)	38.8%	–
EVs	$5.2B	($395M)	(6.8%)	(31.0%)	(28.0%)	(0.8)	44.1%	–
MSCI ACWI (ref.)	–	–	–	–	–	0.9	–	–

Source: ETF Desk Research, Bloomberg, FactSet, regulatory filings. Illustrative data.

- DATA Only Defense (Sharpe **2.1**) and AI (**1.4**) beat MSCI ACWI (**0.9**) on 1Y Sharpe; **4 of 9** subsegments posted negative Sharpe ratios, each with a max drawdown worse than **(28.0%)**.
- ACTION Use Sharpe above the ACWI 0.9 level plus positive Q3 OGR as the joint admission test for thematic satellites (Defense and AI pass; Nuclear ties at 0.9 with an 8.0% OGR).

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